

Brush with RECESSION

Art prices come down considerably as speculators keep away from auctions because of recessionary trends

| By Nandini Vaish |

What? There's no champagne?" exclaimed a guest. That was hardly a good sign for an art auction. In fact, in many ways, it was a sign of things to come. The mood was hardly celebratory at Osian's auction of modern and contemporary Indian art held in the capital on February 21. Not only were the who's-who of the art industry missing, the sale also disappointed. Only half of the 50 lots sold, realising merely

Rs 3.4 crore against the estimated Rs 8.5-10.5 crore. It was a record low for the auction house, which has previously boasted of sales of Rs 30-odd crore. Among the unsold was a 1966 untitled oil on canvas by Tyeb Mehta, estimated between \$320,000—\$400,000, while pieces that did find buyers went for below their estimated prices.

With the global liquidity crisis hitting home, the Rs 1,500-crore Indian art market seems to be heading

towards a cool-down. At the Saffronart spring sale of modern and contemporary Indian art and photographs on March 11-12, only 69 per cent of the 75 lots managed to sell. An untitled work by Subodh Gupta, which was estimated between Rs 90 lakh and Rs 1.20 crore, finally went for a little over Rs 79 lakh. Osian's Mumbai auction in March fared a tad better, with 71 out of 108 works finding buyers.

"The art market was a hugely pregnant bubble waiting to burst", says Swapan Seth, managing partner of Henry S. Clark, an art investment firm in Delhi. That it would happen overnight is something nobody would have guessed. A buoyant economy saw the entry of the investors and speculators who found quick money to be made in a market that yielded 150-300 per cent returns, pushing valuations of artworks to dizzying heights.

Who would not remember

